

and don't use a PIN that is too obvious, such as your phone number or birth date.

If you notice a transaction on your statement that isn't legitimate, report it immediately. If you report it within sixty days, your liability is capped at \$500, but if you wait more than sixty days, you're liable for everything the thief removes from your checking account and your overdraft account, if you have one.



Some banks charge a monthly fee for the debit card. Other banks charge a fee for each transaction. There may also be a requirement to keep a minimum amount in your checking account at all times.

Visa and MasterCard have voluntarily extended the same protection to customers using deferred debit cards as they offer to credit card customers: Your liability is capped at \$50 if you report the card missing within two days. However, this feature doesn't have the law to enforce it, so it could change at any time.

Under the Fair Credit Billing Act, if you aren't happy with the quality of an item you purchased with a credit card, you can withhold payment for that item. This same protection is not true of a debit card. It's a good idea not to use your debit card for big items or services, for online purchases, catalog purchases, or other purchases where you don't walk away immediately with the goods.

Finally, be aware that debit card purchases can lock up your checking account funds. You may end up bouncing checks even if you have sufficient funds in your account. When you choose credit and sign for a transaction, the vendor may authorize a sufficient amount for most purchases (\$100, for example) and bill the actual amount later. For example, if you pay at the pump for gas, the gas station often "reserves" \$100 of your account balance, so they know you can pay for the gas you're about to get. It may be a few days before they get around to releasing the unused funds.